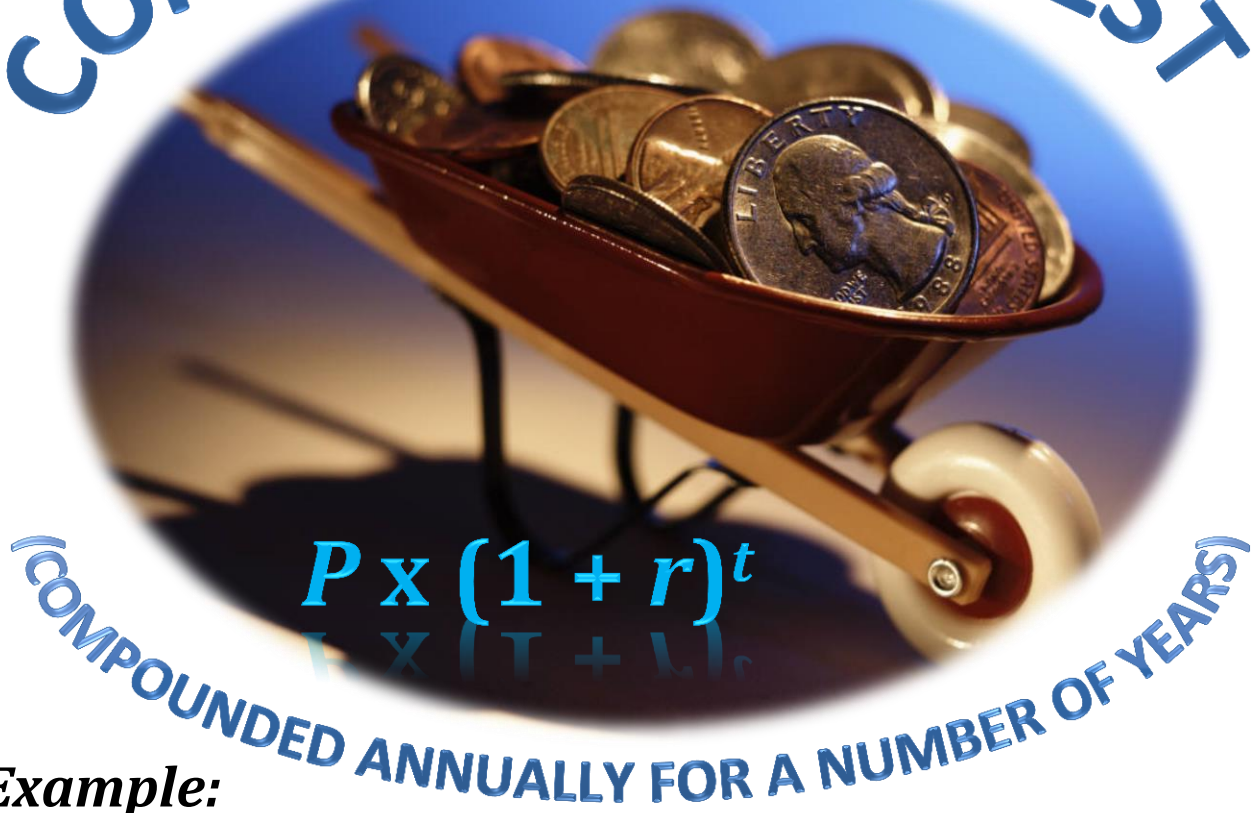


Formula Key:

- ◆ P is the **principal** (starting) amount
- ◆ r is the **interest rate** (in decimal form)
- ◆ t is the **time** (in years)

COMPOUND INTEREST



Example:

Lee deposited \$600 into a savings account and left it there for two years. The interest rate was compounded annually at 4%. How much money does he have at the end of the two years?

$$\$600 \times (1 + 0.04)^2$$

**HINT: Use order of operations to solve.*

$$\$600 \times (1.04)^2 \longrightarrow \$600 \times 1.0816 = \textbf{\$648.96}$$